

# MERIDIAN BIOSUPPLY

## Q3 2026 account review

Louisville cold-chain distribution program | September 20, 2026

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Meridian BioSupply and UPS Healthcare closed the quarter with stronger service performance and a broader operating base. The Louisville expansion opened on August 4, and the team is now preparing for West Coast market entry and the next peak season.

### A quarter of steady progress

On-time delivery reached 98.6 percent, an improvement of 1.1 percentage points from the prior quarter. Inventory accuracy held at 99.6 percent, above the 99.0 percent target and above 99.5 percent for the third consecutive quarter. Order accuracy was 99.8 percent against a 99.5 percent target.

### The operating team

The joint team includes Dana Whitfield, VP Account Management; Marcus Ibe, Director of Distribution Operations; Priya Chandrasekaran, Quality and Compliance Lead; Tomas Reyes, Inbound Operations Manager; Lena Brooks, Outbound Operations Manager; and Faisal Al-Amin, Financial Analyst. Meridian is represented by Grace Kim, VP Supply Chain, and Owen Talbot, Director of Logistics.

# Operating Review

The Louisville operation continued to absorb growth without sacrificing control. Average inbound dock-to-stock time was 3.1 hours against a 4.0-hour target, while outbound order cycle time averaged 5.4 hours against a 6.0-hour target. Space utilization reached 87 percent compared with an 85 percent plan, and freight spend finished at 96.4 percent of budget.

## Service and capacity snapshot

| Measure                | Q3 result           | Reference                  |
|------------------------|---------------------|----------------------------|
| Inventory accuracy     | 99.6%               | Target 99.0%               |
| On-time delivery       | 98.6%               | Target 97.5%               |
| Order accuracy         | 99.8%               | Target 99.5%               |
| Inbound dock-to-stock  | 3.1 hrs avg         | Target 4.0 hrs             |
| Outbound order cycle   | 5.4 hrs avg         | Target 6.0 hrs             |
| Temperature excursions | 0 critical; 2 minor | Both resolved within 2 hrs |
| Space utilization      | 87%                 | Plan 85%                   |
| Freight spend          | 96.4% of budget     | Plan 100%                  |

## What changed during the quarter

The cold-chain SOP was revised and rolled out across all shifts on July 8. The automated slotting pilot expanded to Bay 3 on July 22. A new WMS forecasting module went live on August 19, improving planning visibility for the expanded facility.

# Quarter in Review

Several practical changes strengthened the network. The Louisville cold-chain expansion opened on schedule on August 4. A joint safety audit on September 2 returned zero critical findings. By September 15, returns processing time had fallen from 3.2 days to 1.8 days.

## Milestones

| Date   | What happened                                            |
|--------|----------------------------------------------------------|
| Jul 8  | Cold-chain SOP revision rolled out to all shifts         |
| Jul 22 | Automated slotting pilot expanded to Bay 3               |
| Aug 4  | Louisville cold-chain expansion opened on schedule       |
| Aug 19 | WMS forecasting module went live                         |
| Sep 2  | Joint safety audit completed with zero critical findings |
| Sep 15 | Returns processing reduced from 3.2 to 1.8 days          |

## Improvements on the floor

- Reorganizing the small-package pick path reduced walk time by 18%.
- Consolidating same-SKU rack locations freed 6% of rack capacity.
- The 5S rollout in Bays 2 and 3 reduced safety near-misses by 30%.
- Live order, line, and status dashboards are now visible on the floor.

## Value captured

| Workstream                   | Status      | Estimated annual value |
|------------------------------|-------------|------------------------|
| Automated slotting expansion | In Progress | \$18,400               |
| Returns cycle-time reduction | Complete    | \$9,200                |
| Dock scheduling optimization | Not Started | \$6,000                |

# Risk, Quality, and Customer Experience

The quarter closed with no customer-facing misses, but two quality events remain visible. NC-114-00032 concerns a temperature excursion during a cross-dock transfer. Door-seal wear has been identified as the likely cause, replacement parts are ordered, and the investigation is due October 15, 2026. NC-114-00035 concerns a mislabeled outbound carton; retraining is complete and final sign-off is due September 30, 2026.

| Record       | Issue                                 | Owner status     | Due          |
|--------------|---------------------------------------|------------------|--------------|
| NC-114-00032 | Temperature excursion; door-seal wear | Investigating    | Oct 15, 2026 |
| NC-114-00035 | Mislabeled outbound carton            | Pending sign-off | Sep 30, 2026 |

## Customer perspective

The visibility we now have into cold-chain shipments has fundamentally changed how confidently we can commit to our own customers.

Grace Kim, VP Supply Chain, Meridian BioSupply

## Quality team

Priya Chandrasekaran leads Quality and Compliance with Samuel Okoro, Senior Quality Manager; Beatrice Lund, Compliance Supervisor; and Quality Specialists Nadia Farouk and Derek Voss.

## Q4 Outlook

The next quarter balances disciplined growth with operational resilience. Meridian plans to enter West Coast markets using time-critical and cold-chain lanes. The joint team will also strengthen dual-sourcing and excursion response before peak season, while extending real-time shipment and temperature visibility to the Meridian operations team.

### Commitments and owners

| Commitment                                | Owner                | Timing       | State       |
|-------------------------------------------|----------------------|--------------|-------------|
| Finalize cold-chain excursion SOP         | Priya Chandrasekaran | Oct 15, 2026 | In Progress |
| Complete West Coast carrier qualification | Marcus Ibe           | Nov 1, 2026  | In Progress |
| Kick off peak-season readiness review     | Lena Brooks          | Oct 6, 2026  | Planned     |
| Deliver visibility dashboard UAT          | Faisal Al-Amin       | Nov 20, 2026 | Not Started |

### Near-term operating agenda

- Protect the 98.6% on-time delivery result while adding West Coast volume.
- Close the open quality actions and confirm the new excursion response process.
- Move the visibility dashboard from scheduled demonstration to user acceptance testing.
- Complete the planned Bay 4 slotting expansion and October dock-scheduling kickoff.

### Review conclusion

The account enters Q4 with measurable service gains, a stronger Louisville footprint, and clear owners for the remaining risks. The focus is to convert operational visibility into confident growth without compromising cold-chain quality.